

For Renters Looking to Buy

By: Chaz Wilke - Staff Writer



Homeownership, the age-old rite of passage, seems increasingly out of reach for today's renters. Since 2008, when the housing market collapsed, many may be considering a lifetime of renting. In fact, homeownership is sitting at an 18-year low (<http://bit.ly/1xEo8HN>) as of November 2013. But, there are still homes worth purchasing; some renters may even find that, in the long run, it's cheaper to own. For those considering the jump from renting to owning, this one's for you.



Why

An advertisement for Solar Me Home. It features a blue background with a white house icon and the text 'SOLAR ME HOME' in a green circle. The main text reads 'Electricity bill too high? GO SOLAR Find Installers!'. Below this is a white button with 'Your Zip Code' and a green button with 'GO'. At the bottom, there is a photograph of a smiling family (a man, a woman, and two children) in front of a house with solar panels on the roof.

(<https://solarmehome.com/?cid=28806>)

An advertisement for Pursue Mortgage. It features a dark blue background with a white house icon and the text 'pursuemortgage' in white. The main text reads 'Thinking About Refinancing? Find Lenders Now'. Below this is a photograph of a family (a man, a woman, and two children) walking towards a house.

(<https://pursuemortgage.com/?cid=28806>)

Even while our economy is slowly crawling out from the fiscal rubble of 2008, there are still many reasons to own property. The stability of home ownership and the potential fiscal lifeline that it can provide may be invaluable as you prepare for the next stage in life.

Benefits of becoming a homeowner include:

Owning a home helps build your personal equity through paying off your mortgage, as opposed to wasting money on rent that is most likely paying off someone else's mortgage.

Complete control over the living space. When renting, there are some landlord's that won't even let tenants change a light bulb.

Single family homes would have no shared walls, which helps to keep noisy neighbors at a distance.

The satisfaction of having a place to call your own.

A 30-year-fixed mortgage can lock in monthly mortgage payment costs whereas rent will likely continue to rise over the years.



Why Not

There are a few key points that may keep renters from buying. Daydreaming about owning a home should be tempered by the realities of the less-than-desirable aspects of homeownership.

Homeownership can be a great investment, but your down payment will be locked up for years in your property. Depending on your market this could mean north of \$100,000 of your money would not be available to you for quite a while.

Once you decide on a home to buy, the realization will hit that this is where you will be spending many years of your life. And moving after you've bought a home becomes a much larger hassle than simply giving 30 days' notice to your landlord and

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renting a truck. The prospects of your long-term residence at the location you choose should be considered before signing that mortgage.

Maintenance is now yours to do (and pay for). You are no longer able to call the landlord when the garbage disposal is on the fritz. Ever experience a hot water heater blowout? It happens more often than you might think. The cost of the plumber, cleanup, new hot water heater, potential water damage and mold repair? Well, that's all on you now. This is just one example of countless of things that can go wrong at the drop of a hat. Prepare to be your own handy man.

Property taxes, homeowner association fees, landscaping costs, insurance, and other financial responsibilities are all on top of your monthly mortgage payment. Also, many landlords pay for your water and most pay for your garbage pickup. The number of hidden fees that are waiting to greet you after your first month in your new home may send you reeling.

Where

Where anyone should live is an important and highly subjective question. Each city presents a long list of pluses and minuses. Remember to look for a city that not only fits your current lifestyle, but can also accommodate your changing lifestyle years from now.

Buying a home is an investment in your future. If you love living in Los Angeles now, consider how you would feel about it in 10 to 15 years. Would you still crave the same lifestyle? Is there any chance that later you might want to live somewhere calmer?

Also consider what you do for work, and where your career might be headed. This is tricky as the locational hotspots for industries tend to shift over the years. Consider your destination carefully. Once you sign for a mortgage, you may lose a chunk of change if you need to pull up the anchor and set sail in the first few years.

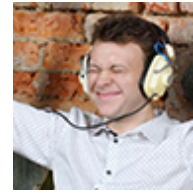
In May 2012, the real estate company Trulia [compiled a list \(http://on.trulia.com/1GJhJ42\)](http://on.trulia.com/1GJhJ42) of cities where the cost of rent may prove more than homeownership over time. The cities that Trulia listed as the best value include Detroit, as well as Cleveland and Dayton, Ohio. Trulia's metric is based on the number of years you would need to live in your new home to save, compared with renting. If you choose to own a home in Detroit, you would only need to live there 3.7 years before you would notice savings over renting in that same area.

On the other side of the scale, Trulia revealed the cities where it would take longest to see savings in homeownership over renting. Honolulu tops the list at 17 years. San Francisco, New York, and Los Angeles are all among the cities where it may be best to rent unless you plan to stay put for a few decades.



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When

Realtor.com cites the spring and summer months as “the busiest times of the year (<http://bit.ly/1sth6kG>) for the residential real estate market.” This is code for spring and summer being a sellers’ market. The market slows around late fall and winter. Bankrate notes (<http://bit.ly/1ugl-PeK>), “Sellers in late fall and early winter, especially between Thanksgiving and New Year’s Day, are often more motivated to deal, real estate agents say.”

But when do you buy? This debate will rage on eternally. Never expect to reach widespread consensus on when to buy a home. You will always hear someone saying now is the time, even while others are warning you not to buy at that same moment. The right time to buy is stacked on top of so many subjective parameters that no one other than you can truly decide when the time is right.

Markets fluctuate. Interest rates change constantly. It is important to remain aware of the market and trends that you might see along the way. But in the end, this decision affects you most of all. So don’t feel too pressured by an interested third party attempting to convince you that you’re missing out on an opportunity. In the real estate market, there will always be opportunities that follow those opportunities about to expire.

Takeaway

Owning property can be a great investment, but each potential homeowner has specific variables to consider before deciding to buy. It is important to remember that home ownership, once a rite of passage, is now optional at best. However, if your situation allows for home ownership, there are few investments more widely recommended than owning property. The stability of owning your own home may easily outshine any potential drawback. If owning a home is right for you, now might be the best time to take that plunge.

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